

Chapter-7

Distribution Strategies in International Context

Distribution Channel In International Marketing

- **Distribution** is the process of making a product available for the consumer.
- **Distribution channel** is a chain of intermediaries through which a product passes until it reaches the final buyer.
- Distribution channels are the link between producers & customers.
- It is a process of delivering the product to the end customers.
- *It is a network of intermediaries that ensures the delivery of products from manufacturers to end-users.*
- ***International distribution channels** are the link between a firm and its customers in markets around the world.*
- *Creating a reliable & efficient international distribution channel is one of the most critical & challenging tasks that an international marketer can face.*
- Companies have two options when setting up their international distribution systems:
 1. Decide to sell direct to its customers by using its own local sales force or through the internet.
 2. Decide to use the resources of independent intermediaries.

- **Questions** to be addressed in selecting the right international channel strategy:
- **What channels of distribution are available in international market?**
- **Which channels are best in reaching target customers?**
- **What are the channel requirements for transportation?**

Factors affecting distribution channels

- ***Characteristics of customers***
- ***Competitors/competition***
- ***Marketing environment***
- ***Strengths & weaknesses of the company itself- company's financial strength.***
- ***Target market size- size of market***
- ***Availability of distribution intermediaries***
- ***Market characteristics-, geographical concentration of potential customers, quantity demanded.***
- ***Nature of the product- Perishability***

The six Cs of channel strategy

- 1. **Cost:** investment cost of developing the channel & cost of maintaining it.*
- 2. **Capital:** Maximum investment is required when a company establishes its own internal channels- its own sales force.*
- 3. **Control:** level of control a business has over its channel. The more involved a company is with the distribution, the more control it exerts.*
- 4. **Coverage:** refers to the market segments or geographic area a firm's products are represented in. If a firm wishes to attempt a full market coverage, it may have to use several intermediaries.*
- 5. **Character:** The channel-of-distribution system selected must fit the brand value & reputation of the company and the markets in which it is doing business.*
- 6. **Continuity:** sustainability of the channel strategy. Business must ensure that their channels are sustainable over the long term.*

Intermediaries in international channel of distribution

Direct and Indirect Selling Channels

1. *Direct selling* is employed when a manufacturer develops an overseas channel.
- Foreign Company develops its own overseas marketing department or *foreign marketing intermediaries* & sells the product in the foreign market.
- The manufacturer must set-up the overseas channel to take care of the business activities between the countries.

2. Indirect selling, also known local or domestic channel, is takes place through domestic agents/domestic merchants.

- *Indirect selling is when the manufacturer or the company employs middlemen or third-party person to sells its products to the consumer.*
- *This is a long channel involving a number of marketing intermediaries.*

Types of Intermediaries: Direct Channel

- ***Foreign distributor:*** it is a foreign firm that has exclusive rights to carry out distribution for a manufacturer in a foreign country or specific area.
- *Unlike agents, the distributor is a merchant who buys and maintains merchandise in its own name.*
- ***Foreign retailer:*** It is a retailing company firm in a foreign country engaged by the distributor of the foreign country concerned to deal in and sell the products.
- ***State-controlled trading company:*** It is a government company authorized to deal in & sell the products/services of foreign companies.
- ***End user:*** a manufacturer is able to sell directly to foreign end users with no intermediary involved in the process.

Types of Intermediaries: Indirect Channel

- With an indirect channel, a manufacturer *does not have to correspond with foreign parties* in foreign countries.
- There are two categories of local sales intermediaries:
 1. **Domestic agents** never take title to the goods, regardless of whether or not the agents take possession of the goods.
 2. **Domestic merchants**, on the other hand, own the merchandise, regardless of whether or not the merchants take possession.
- An agent represents the manufacturer, whereas a merchant represents the manufacturer's product.
- The merchant has no power to contract on behalf of the manufacturer, but the agent can bind the manufacturer in authorized matters to contracts made on the manufacturer's behalf.

- **Export broker:** It is a domestic company engaged in arranging for export of goods of domestic companies by charging a fee.
- *It does not take possession or title to the goods.*
- It has no financial responsibility other than sometimes making an arrangement for credit.
- **Manufacturer's export agent or sales representative:** this is an independent businessperson who usually retains his or her own identity by not using the manufacturer's name.
- It is a firm exclusively engaged to take up all export activities of a domestic manufacturer.
- This agent works for a commission.
- *An export agent may take possession but not title to the goods and thus assumes no risk – the risk of loss remains with the manufacturer.*

- **Export management company (EMC):** An EMC manages the entire export program of a manufacturer.
- *The EMC may take **full or partial** responsibility for promotion of the goods, credit arrangements, physical handling, market research, and information on financial, patent, and licensing matters.*
- **Cooperative exporter:** it is a manufacturer with its own export organization that is retained by other manufacturers to sell in some or all foreign markets.
- *Because the cooperative exporter arranges shipping, it takes possession of goods but not title.*

- **Purchasing/buying agent:** An export agent represents a seller or manufacturer; a purchasing/buying agent represents a foreign buyer.
- It is acting as an agent in overseas behalf of foreign customer.
- It is an agency firm of a foreign buyer/importer.
- **Country-controlled buying agent:** It is a foreign government's agency or a quasi-governmental firm engaged in buying/importing products from other countries.
- This firm buys products on behalf of the government of the importing country.
- **Export merchant:** It is a firm engaged in buying the products in the domestic country in order to export to foreign countries on its own.
- They take neither **risks nor title**, preferring to receive fees for their services.

Channel Decisions

- The international market requires a marketer to make at **least three channel decisions**: length, width, and no of channels of distribution.
 1. **Channel length**: is concerned with the number of **times** a product changes hands among intermediaries before it reaches the final consumer.
 2. **Channel width** is related to the number of **middlemen** at a particular point or step in the distribution channel.
 3. **Number of distribution channels** to be used. In some circumstances, the manufacturer may employ **many channels** to move its product to consumers.

Determinants of channel types

- ***Legal regulations:** Ex. France prohibits the use of door-to-door selling.*
- ***Product image:** A product with a low-price image requires intensive distribution.*
- ***Product characteristics:** For low-priced goods-intensive distribution network. For high-unit-value goods-short & narrow distribution channel.*
- ***Middlemen's loyalty & conflict:** as the number of channels increases, more direct competition among channel members is inevitable.*
- ***Local customs:** Local business practices can interfere with efficiency and productivity.*
- ***Control:** If a manufacturer that wants to have more control over its product distribution may want short distribution channel.*

- **Intensive distribution strategy** involves selling a product in as **many outlets** as possible.
- **Selective distribution** involves selling a product at select outlets in **specific locations**.
- **Exclusive distribution** involves selling a product through **one or very few outlets**.

Distribution of services

- *Services, like products, also need distribution.*
- *Services can be exported through **four distinct modes**:*
 1. ***Cross-border:** it occurs when neither the producer nor the consumer physically moves. Instead the services are provided through a common channel such as the Internet.*
 2. ***Consumption abroad:** It takes place when the consumer/buyer is in the supplier's country.*
 3. ***Commercial presence:** it occurs when the supplier establishes a local office in the country where the service is to be provided.*
 4. ***Movement of personnel:** consists of staff of the service company moving to the country where the service export is provided.*

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Thank You
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